

stocks in particular. Over the long run, well-selected small companies will do better than large companies because the smaller ones haven't exhausted most of their growth potential. But trading small-company stocks is difficult. They are often illiquid, and trading costs can be very high. Trying to sell even a modest-size position (the individual investor with a few hundred shares wouldn't have this problem) can knock the price down considerably. The solution to high trading costs is to buy stocks you can hold for a long time.

And again, if you want to keep stocks for years, you can't focus on companies you think are going to have a great quarter. They may have a great quarter and then tread water or go into a slump. If a company reports 28 cents per share for the quarter, beating the Merrill Lynch analyst's forecast by 2 cents, that doesn't excite me. I need a long-term reason to own a stock. I want to see something that convinces me not only that the company's management is competent and its product line exciting but, in addition, that its particular industry, or niche in an industry, is one with superb prospects. I want everything going for me.

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In choosing companies, however, I can't make specific forecasts about 1998 earnings any better than anyone else can. But I can invest in a stock with far greater confidence if I believe it will benefit from a major trend that I have identified, a thematic concept about the world that will hold true for a number of years to come.

Often, of course, you are looking for the leaders in the industry you believe is nicely positioned, like International Game Technol-